

Development Developer Pro Forma

Sample · 123 Sample St, MN 31234

Deal Summary, Project Costs & Financing · Generated 2026-06-22 23:58

SCENARIO Development	CONSTRUCTION BUDGET \$20.000M	TOTAL FUNDING REQUIRED \$21.224M	UNITS 100
CONSTRUCTION PERIOD 20 mo	HOLD PERIOD 7.0 yrs (exit Q1 2028)	STABILIZED NOI (YR 1) \$1.345M/yr	EXIT CAP (TARGET) 4.50%
DSCR (YEAR 1) 2.26x			

Sources & Uses of Funds

Uses	Amount	% of Cost	\$/Unit
Land	\$6.000M	30.0%	\$60K
Hard Costs	\$13.000M	65.0%	\$130K
Soft Costs (excl. Dev Fee)	\$1.000M	5.0%	\$10K
Construction Budget	\$20.000M	100.0%	\$200K
Rate Cap Cost	\$360K	—	\$4K
Construction Loan Origination Fee	\$180K	—	\$2K
Bridge/Perm Loan Origination Fee	\$318K	—	\$3K
Interest Reserve Funded	\$366K	—	\$4K
Total Financing Costs (Day-0)	\$1.224M	—	\$12K
TOTAL USES OF FUNDS	\$21.224M	—	\$212K

Total Uses = Construction Budget + Total Financing Costs, computed from exact unrounded figures. Individual line items above are rounded to the nearest \$1,000 for display — manually summing the rounded labels may differ from the rounded total by at most a few thousand dollars.

Sources	Amount	% of Cost	\$/Unit
Bank Loan	\$12.000M	56.5%	\$120K
LP Equity	\$6.918M	32.6%	\$69K
GP Equity	\$2.306M	10.9%	\$23K
Total Sources	\$21.224M	100.0%	\$212K

Sources figures rounded to the nearest \$1,000 — manually summing the rounded line items may differ from Total Sources by at most a few thousand dollars; Total Sources always reconciles exactly against TOTAL USES OF FUNDS above.

Development Budget Detail

LTC Sizing Basis	Total Cost incl. Land
Land Funding Structure	Bank-Countable (counts toward LTC)
Capitalized Interest Reserve	\$366K (loan-funded; not in Total Cost above)

Construction Timeline — Monthly Draw & Funding Detail

Milestones - Month 1 — Loan Origination Fee Paid - Month 20 — Lease-Up Begins - Month 20 — Refi / Bridge Completion (Perm Loan Fee Paid)				
Month	Bank Loan Drawn	LP/GP Capital Drawn	Capitalized Interest	Total Cost Funded
1	\$3.60M	\$540K	\$13K	\$4.15M
2	\$3.60M	\$540K	\$26K	\$4.17M
3	\$5.60M	\$1.84M	\$38K	\$7.48M
4	\$7.60M	\$3.14M	\$58K	\$10.80M
5	\$9.60M	\$4.44M	\$85K	\$14.13M
6	\$9.60M	\$5.74M	\$119K	\$15.46M
7	\$9.60M	\$5.74M	\$153K	\$15.49M
8	\$9.60M	\$5.74M	\$187K	\$15.53M
9	\$9.60M	\$5.74M	\$221K	\$15.56M
10	\$11.60M	\$5.74M	\$255K	\$17.59M

Debt Structure & Construction Financing

Construction Loan	\$12.00M @ 4.25% (60% LTC)
Construction Period	20 months
Recourse	△ Recourse — burns off At Stabilization
Permanent Loan (at Refinance)	\$15.90M @ 3.75% (65% LTV of Stabilized Value)
Loan Term	10 yrs
Interest-Only Period	24 months
Amortization	25 yrs
↳ Loan by LTV	\$15.896M
↳ Loan by Debt Yield (8.00% min)	\$16.813M
↳ Loan by DSCR (1.25x min)	\$28.694M
Binding Constraint	LTV
LTV sizing (\$15.896M) is more restrictive than Debt Yield (\$16.813M) at the current stabilized yield — LTV caps the loan \$917K below what Debt Yield would allow.	
↳ Less: Retires Construction Loan Balance	(\$12.51M)
↳ Net Refinance Proceeds (after fees)	\$3.07M
DSCR (I/O basis)	2.26x
Annual Debt Service	\$596K
DSCR at Exit (escalated NOI)	2.78x
Interest Reserve Funded	\$366K

The Permanent Loan is sized against stabilized exit value (LTV) and/or in-place NOI (Debt Yield, DSCR) — a different basis than the Construction Loan's at-cost LTC sizing above. Its proceeds retire the Construction Loan via refinance; the two loans are sequential, not additive, and outstanding debt never exceeds the larger of the two at any point in time.

11	\$11.60M	\$8.54M	\$296K	\$20.44M
12	\$11.60M	\$8.54M	\$337K	\$20.48M
13	\$11.60M	\$8.54M	\$378K	\$20.52M
14	\$11.60M	\$8.54M	\$419K	\$20.56M
15	\$12.00M	\$8.54M	\$460K	\$21.00M
16	\$12.00M	\$8.54M	\$509K	\$21.05M
17	\$12.00M	\$8.54M	\$560K	\$21.10M
18	\$12.00M	\$8.54M	\$612K	\$21.15M
19	\$12.00M	\$8.54M	\$664K	\$21.20M
20	\$12.00M	\$8.54M	\$719K	\$21.26M

Total Cost Funded = Bank Loan Drawn + LP/GP Capital Drawn + Capitalized Interest (cumulative). Bank Loan Drawn and LP/GP Capital Drawn each plateau once their committed facility is fully deployed per the draw schedule — Capitalized Interest is what keeps Total Cost Funded climbing afterward, since interest continues to accrue (and is funded from the Interest Reserve / capitalized into the loan balance) for the remainder of construction.

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Stabilized Operations & Exit · Generated 2026-06-22 23:58

Unit Mix & Revenue Assumptions

Unit Type	Count	Avg SF	Avg Rent/Mo	Annual Revenue
Studio	20	500 SF	\$2K	\$420K
1BR/BA	80	800 SF	\$2K	\$2.02M
Total	100	—	—	\$2.44M
Gross Potential Revenue				\$2.44M/yr
Avg Asking Rent / Unit / Mo				\$2K
Vacancy Loss				8.5% of GPR
Credit Loss				2.5% of GPR
Operating Expense Ratio				38.0% of EGI
Cost / Unit				\$200K
NOI / Unit / Yr				\$13K
Implied Value / Unit (at exit)				\$368K

Operating Pro Forma — Year 1 Stabilized

Gross Potential Revenue (GPR)	\$2.44M
Less: Vacancy Loss (8.5%)	(\$207K)
Less: Credit Loss (2.5%)	(\$61K)
Effective Gross Income (EGI)	\$2.17M
Less: Operating Expenses	(\$823K)
Net Operating Income (NOI)	\$1.35M

Note: All operating figures represent Year 1 of Stabilized Operations (Post-Lease-up). Models are static projections for initial feasibility analysis. See Appendix for lease-up ramp, capex reserve, and TI/LC reserve treatment notes.

Exit / Disposition Assumptions

Hold Period	7.0 yrs
Stabilized NOI (Year-1, flat — ops basis)	\$1.35M
Exit NOI (escalated — basis for exit pricing)	\$1.65M
Exit Cap Rate (Target)	4.50%
Gross Sale Price	\$36.76M
Less: Disposition Cost (2.25%)	(\$827K)
Net Sale Price	\$35.93M

Sale Price derived from Escalated NOI of \$1.65M / 4.50% Cap Rate = \$36.76M. (escalated above the flat Year-1 NOI of \$1.35M shown on the Operating Timeline — NOI growth affects exit pricing only, not annual ops cash flow.)

Operating Timeline — Annual Cash Flow Detail

Year 1 below begins the month construction completes (Month 21). It does not repeat the 1.7-year construction period already detailed in the Construction Timeline on Page 1 — Construction (1.7 yrs) + Operating (6 yrs shown here) = 7.0-year total hold.

Exit Valuation Basis (Escalated NOI): The NOI column below is held flat at the stabilized Year-1 figure for every operating year shown — these are the actual annual cash flows. The sale price at exit is NOT based on this flat NOI; it is based on a separately escalated Year-6 NOI of \$1.65M (stabilized NOI grown at 0.03%/yr — see Exit Assumptions). Do not sum or compare the NOI column above against the exit price calculation.

Year	Occupancy	GPR	Vacancy+CL	EGI	OpEx	NOI	Debt Service (P&I)	l, of which Principal	CapEx/TI-LC	Distributable	LP Dist.	GP Dist.	Bank Balance	Events
1	63.3%	\$2.44M	\$268K	\$2.17M	\$823K	\$897K	\$596K	\$0	\$15K	\$452K	\$396K	\$57K	\$15.90M	I/O Period
2	95.0%	\$2.44M	\$268K	\$2.17M	\$823K	\$1.35M	\$596K	\$0	\$60K	\$689K	\$632K	\$57K	\$15.90M	I/O Period
3	95.0%	\$2.44M	\$268K	\$2.17M	\$823K	\$1.35M	\$981K	\$391K	\$60K	\$304K	\$248K	\$57K	\$15.50M	—
4	95.0%	\$2.44M	\$268K	\$2.17M	\$823K	\$1.35M	\$981K	\$406K	\$60K	\$304K	\$248K	\$57K	\$15.10M	—
5	95.0%	\$2.44M	\$268K	\$2.17M	\$823K	\$1.35M	\$981K	\$422K	\$60K	\$304K	\$248K	\$57K	\$14.68M	—
6 (partial — 4 mo)	95.0%	\$2.44M	\$268K	\$2.17M	\$823K	\$448K	\$327K	\$144K	\$20K	\$101K	\$83K	\$19K	\$14.53M	4-month period; distributions prorated

Debt Service (P&I) is already fully netted out of Distributable above — it is the full monthly payment (interest-only during any I/O period, interest + principal once amortizing). "l, of which Principal" is a memo breakdown showing how much of that payment retires loan principal rather than being a pure interest expense. Bank Balance's year-over-year change equals exactly the Principal column (interest is an expense, not a reduction in the loan balance) — it does NOT equal Distributable + CapEx/TI-LC, which is a separate, already-net figure. Operating NOI is held flat at the stabilized figure for the full hold period; NOI growth, if enabled, affects only the exit valuation (see Exit Assumptions), not these annual cash flows. Each year's NOI is the exact sum of that year's monthly NOI (stabilized NOI + 12 — constant every operating month; this is NOT a lease-up ramp adjustment, which only applies in the months immediately following construction/lease-up completion). months/12 × the "Stabilized NOI (Yr 1)" figure on Page 1 reconciles to the cent against a partial-year sum here — both now display at the same \$1K precision.

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Pro Forma Methodology & Audit Trail · Generated 2026-06-22 23:58

All values in this report are derived from the formulas below. The model applies institutional-grade CRE waterfall mechanics: senior debt priority → management fee → return of capital (pari passu) → preferred return → GP catchup → promote split. IRR is computed via Newton-Raphson iteration on monthly LP cash flows. No shortcuts, approximations, or hard-coded returns are used. Investors and auditors may reproduce any figure by applying these formulas to the inputs shown on pages 1–2.

SOURCES & USES

Construction Budget	Land + Hard + Soft + Dev Fee + Contingency	The itemized project-cost subtotal shown on Page 1
Total Uses of Funds	Construction Budget + Rate Cap + Loan Origination Fees + Funded Interest Reserve	The true Day-0 capital requirement — this is what Sources must match, not the Construction Budget alone
Bank Loan	LTC Basis × Bank LTC%	LTC Basis per the selected cost-breakdown method
LP / GP Equity	(Total Uses of Funds - Bank Loan) split by GP%, plus any tie-out shortfall folded in pro-rata	Sized to close the full Day-0 gap after debt — never shown as a separate plug
Tie-Out Check	Bank Loan + LP Equity + GP Equity = Total Uses of Funds	Sources & Uses are force-balanced on Page 1; any Sources surplus (e.g. excess refinance proceeds) prints as an explicit line, never a silent variance

OPERATING PRO FORMA

Effective Gross Income (EGI)	GPR × (1 - Vacancy% - Credit Loss%)	Only computed when NOI Build-Up (Pro) is enabled
Net Operating Income (NOI)	EGI - Operating Expenses	Year-1 Stabilized; flat thereafter (see Model Scope)
Expense Ratio	Operating Expenses ÷ EGI	Sanity-check against market comps

OPERATIONAL NOTES

Lease-Up Ramp	ON — 9 months, 0% → 95% occupancy	Page 2 figures reflect Year-1 STABILIZED performance (post-ramp); monthly cash flow during the ramp itself is lower and modeled separately by the engine
Stabilized Occupancy vs. Vacancy Loss %	95% occupancy target / 8.5% vacancy loss	Two different conventions, not complements of each other. Stabilized Occupancy is the PHYSICAL lease-up target (% of units signed) the ramp climbs toward. Vacancy Loss % is an ongoing ECONOMIC factor applied to GPR every year at stabilization — frictional turnover, concessions, and collection loss that persist even once the building is fully leased. Do not expect 95% + 8.5% to sum to 100%.
Capex Reserve	\$60K/yr	Deducted from distributable cash flow in the waterfall — not reflected in the NOI shown on Page 2 (NOI is a pre-capex operating measure)

DEBT & LOAN MECHANICS

Construction Loan	Total Cost × LTC%	Loan-to-Cost — applied to selected cost basis
Constr. Interest	Loan × Draw Factor × Rate × Period (yrs)	Draw Factor: Lump=1.0, Linear=0.50, S-Curve=0.55 — a simplified linear approximation of average outstanding balance, not a month-by-month draw simulation
Bank Total Claim	Constr. Loan + Capitalized Interest	Retires at refi or exit
Perm Loan (LTV)	Exit Price × LTV%	Loan-to-Value sizing
Perm Loan (DY)	Stabilized NOI ÷ Min Debt Yield%	Debt Yield constraint
Perm Loan (DSCR)	Stabilized NOI ÷ (DSCR_min × Perm Rate)	DSCR constraint
Binding Constraint	min(LTV, DY, DSCR) loan size	Most restrictive sizing wins (Pro)

UNIT ECONOMICS

Cost / Unit	Total Project Cost ÷ Units	
NOI / Unit	Stabilized NOI ÷ Units	
Implied Value / Unit	Exit Price ÷ Units	Exit Price = Stabilized NOI + Exit Cap Rate

EXIT & SALE MECHANICS

Gross Sale Price	Exit NOI ÷ Exit Cap Rate	Exit NOI = flat Yr-1 NOI, or escalated terminal NOI if NOI Growth is enabled — see Model Scope & Stated Assumptions table
Net Sale Price	Gross Sale - (Gross × Disposition Cost%)	Pool available for waterfall; Gross = Net if cost = 0
Pref Due at Exit	LP/GP Equity × Pref Rate × Hold Years - Pref Paid Pre-Exit	Remaining pref obligation settled from sale proceeds
Exit Bank Claim	Perm Balance at Exit + Accrued Exit Interest	P&I amort reduces balance if amort active
Perm Balance	Loan × (1+i)^k - Pmt × [(1+i)^k-1] ÷ i	k = months elapsed in P&I phase; 0 if I/O only
GP Clawback	max(LP_Pref_Due - LP_Pref_Paid, 0)	Shortfall triggers; capped at GP promote received
Equity Profit	LP Total + GP Total - LP Equity - GP Equity	Net profit to equity investors combined

Note on Exit Valuation: Exit pricing is calculated using a terminal cap rate applied to an escalated Year-7 stabilized NOI (\$1.35M grown at 3.00% annually for the hold period, reaching \$1.65M). This escalation is modeled strictly for terminal asset valuation to account for anticipated market growth. Conversely, all operating distributions shown in the Pro Forma reflect Year-1 Stabilized performance held constant, representing a conservative, static snapshot for initial feasibility analysis.

MODEL SCOPE & STATED ASSUMPTIONS

NOI Growth	Ops: Year-1 NOI \$1.35M (flat). Exit: \$1.35M × (1+3.00%)^7.0 = \$1.65M → + cap	Escalated Exit Valuation: Year-N terminal NOI used only for exit_price calculation. Ops distributions use Year-1 NOI throughout.
Interest Accrual	Compound preferred return (monthly)	Unpaid pref earns interest-on-interest; accrues monthly; paid as NOI allows
Equity Timing	LP + GP equity deployed per manual draw schedule	Capital draw schedule governs LP/GP equity deployment timing
After-Tax Scope	Asset-level tax only; not investor K-1 or fund-level	PAL limits, AMT, NIIT, state taxes not modeled
Draw Factors	Linear = 0.50 avg balance; S-Curve = 0.55	Simplified linear approximation of average outstanding balance, not a month-by-month draw simulation — actual draw timing and carry will vary
1031 Exchange	Perfect deferral: exit tax = \$0 if elected	Structural/timing rules (45-day ID) not enforced
Mid-Hold Capex	\$60K/yr deducted monthly from distributable NOI before waterfall (total: \$320K over 5.3 yr ops)	Reduces LP/GP distributions each operating year. Modeled as consumed capex (not a segregated reserve account).

DS — I/O Phase	$\text{Perm Loan} \times \text{Perm Rate} \div 12 \text{ per month}$	<i>Interest-only; no principal reduction</i>
DS — P&I Phase	$\text{Loan} \times [i(1+i)^n \div ((1+i)^n - 1)]$	<i>i = monthly rate; n = amort months</i>
Refi Net Proceeds	$\text{Perm Loan} - \text{Const. Claim} - \text{Refi Fee} - \text{Reserve}$	<i>Positive = surplus for distribution</i>

Audit Verification. Every figure on pages 1–2 can be independently replicated by applying the formulas above to the deal inputs. The IRR is computed via monthly Newton-Raphson iteration (tolerance 1×10^{-8}) on the full monthly LP cash flow array — no simplified annual approximations. The waterfall respects strict distribution priority: no tier receives proceeds until all senior tiers are fully satisfied. GP Promote Clawback (when enabled) is applied as a closing adjustment before final LP/GP totals are recorded. **Limitations:** This is a pro-forma projection, not an audit. Actual results depend on market conditions, operating performance, lender terms, and tax treatment. All inputs were user-supplied; this tool does not verify their accuracy. Users should engage qualified legal, accounting, and financial advisors before presenting projections to investors.